any year and the debt of the government represents accumulated borrowings. The more governments accumulate debt, an increasing share of future revenues and borrowings gets used in servicing the debt instead of public expenditure.

Excessive borrowings by governments results in two consequences sooner than later. First, borrowings become a zero-sum game when new borrowings get used up to serve accumulated debt, leaving no real resource to undertake public expenditure. Second, the private sector gets starved of investible funds with adverse consequences for growth of the country.

Article 292 confers power on the Government of India to borrow on the security of the Consolidated Fund of India (CFI), which receives all revenues and borrowings. The Article subjects this executive power to 'such limits, if any, as may from time to time be fixed by the Parliament by law'. The Parliament has chosen not to fix any borrowing limits specifically thus far. No debt limit law has ever been passed in India.

Public Debt and Liabilities

All receipts of the government are accounted for in the CFI. The government makes expenditures from the CFI. It also raises debt on the strength and security of the CFI and accounts for it in the CFI. The Government of India has executive authority to raise debt in domestic markets (internal debt) and overseas markets (external debt). State governments can raise debt only in domestic markets. Internal and external debts together make up public debt.

The Constitution allows the Centre and the states to maintain non-government accounts in what is called the Public Account. Funds belonging to persons other than the Government of India—small savings raised from people, provident fund and other deposits of government servants, GST Compensation Cess for compensating state governments, etc.—are to be kept in the Public Account.